

Economic growth and development challenges in Bangladesh: Analysing poverty, inequality, and key underdevelopment factors.

Word count: 997

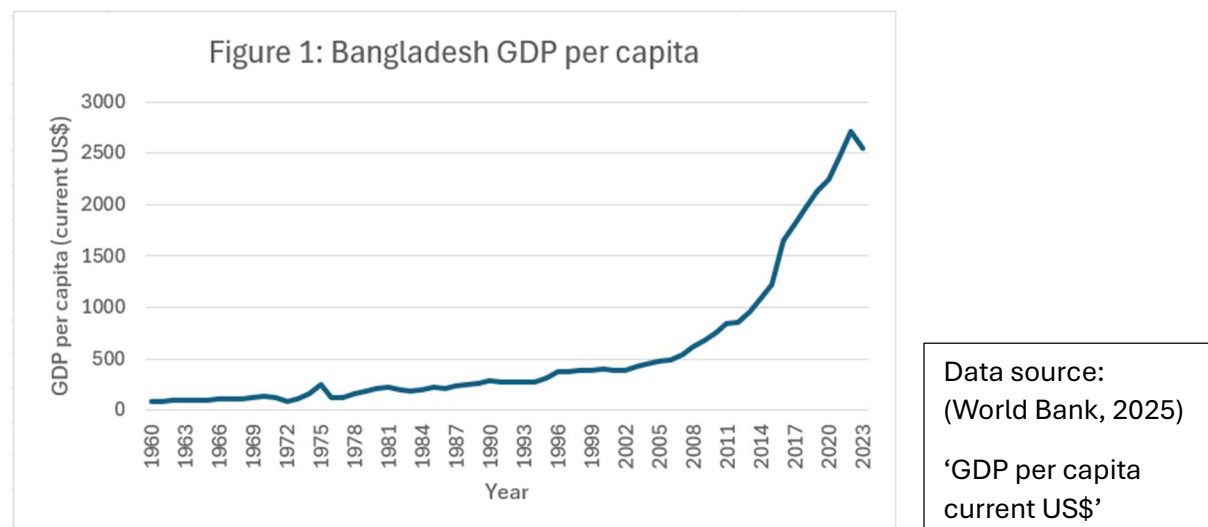
Student ID: 11301282

Introduction

Bangladesh, located in South Asia, is one of the world's 44 Least Developed Countries (LDC's) as defined by the UN, with a population exceeding 170 million. In recent decades, it has experienced notable economic growth, predominately driven by a thriving textile industry. Nevertheless, Bangladesh continues to grapple persistent challenges, including widespread regional poverty, income inequality and need for infrastructural transformation. This report examines Bangladesh's economic growth and development trajectory, analysing its progress, while focusing on two critical factors contributing to underdevelopment and developmental challenges: education and population.

Economic growth

Bangladesh has experienced remarkable economic growth over recent decades. Between 2000 and 2023, GDP grew at an average annual rate of 6.03%, a significant improvement from 3.95% between 1975-1999 (World Bank, 2025). As illustrated in Figure 1, GDP per capita surged from \$396 in 2000 to \$2,551 in 2023, highlighting the nations rapid economic transformation. This sustained income growth, primarily powered by the thriving textile and garment industry, has positioned Bangladesh as one of Asia's fastest growing economies.



Manufactured exports have boosted foreign exchange revenue streams, increased Bangladesh's current account surplus and directly produced economic growth. Additionally,

remittance inflows from expatriated skilled workers have provided steady incomes to fuel household consumption and reduce poverty.

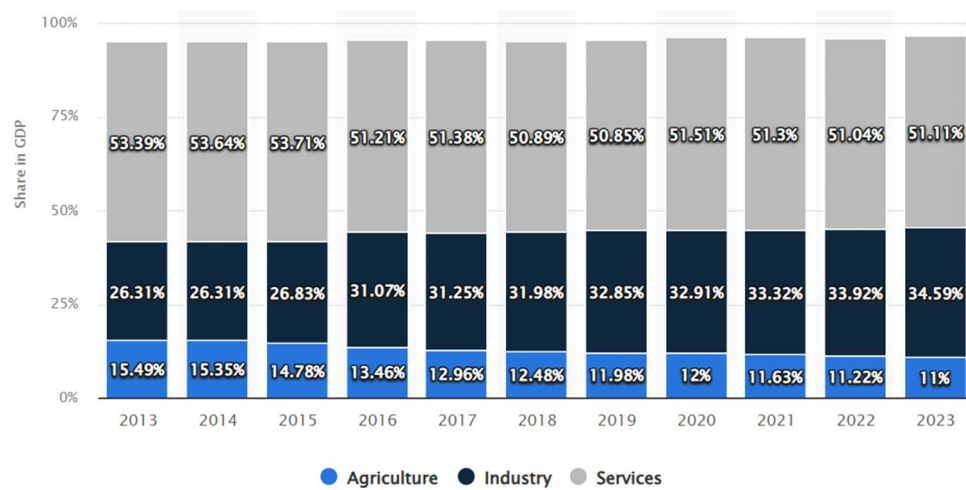


Figure 2: Share of economic sectors in GDP 2013-2023. (Statista, 2025)

Structural changes (shown in figure 2) reveal the sectoral shift away from agriculture – which declined by 4.49% of GDP share in a decade, signalling a transition to industry and services, the latter of the two now accounting for over 50% of GDP. Diversification reduces agricultural reliance and effectively utilises the large population to provide higher income employment and long-term growth via the Solow-growth model's technological progress and capital accumulation approach.

However, despite upwards growth trends, challenges such as income inequality and climate vulnerabilities pose a hindrance to sustained growth. Ensuring progress requires targeted investment into human capital, technology, and infrastructure.

Inequality and poverty

Bangladesh has made significant strides in reducing poverty; however, income inequality remains a concern.

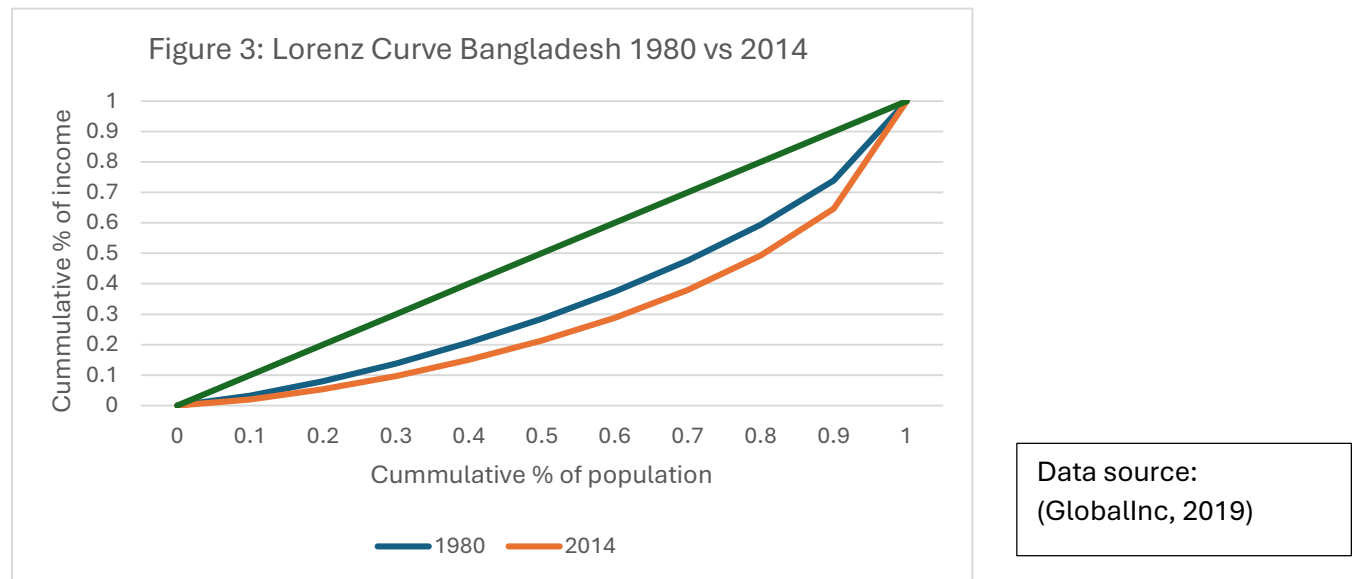


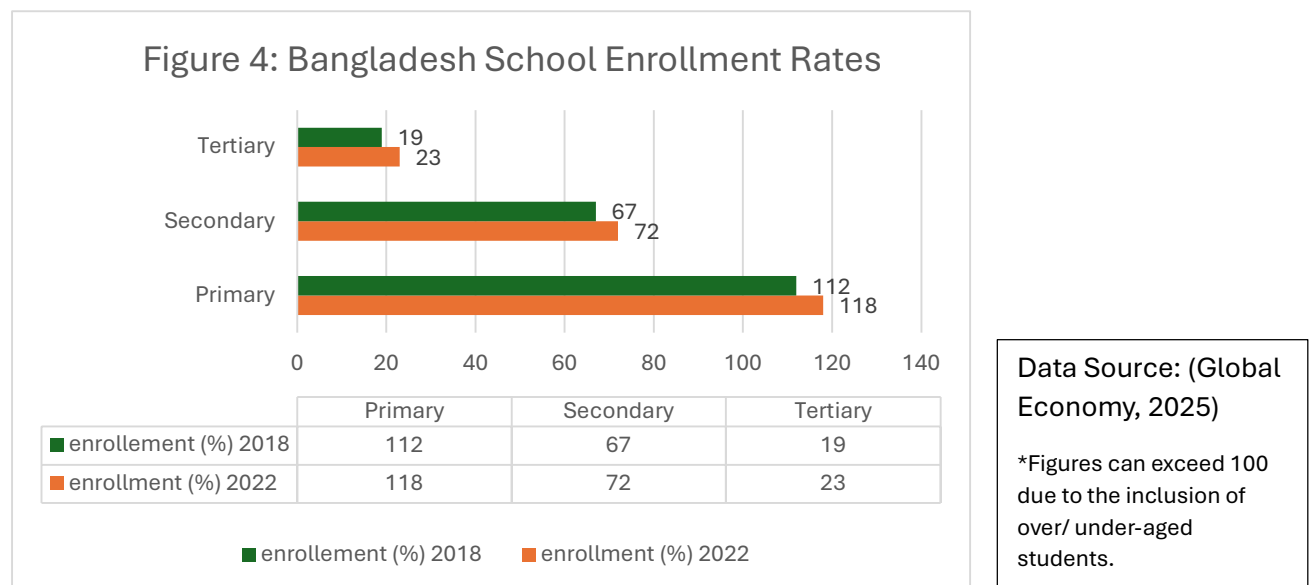
Figure 3 illustrates increased income inequality from 1980 to 2014, reflected by a rising Gini coefficient from 0.31 to 0.43. Inequality persists due to an urban-rural divide. The urban middle class is growing but rural poverty is widespread, particularly in coastal areas which are more vulnerable to climate change and rising living costs. In 2022, 47.6% of the rural population constituted the bottom 40% of income, compared to only 23% in urban areas (World Bank, 2022).

Conversely, there are positive trends in overall poverty reduction and specifically, improved conditions for women. The textile and ready-made garment sector, which contributes over 80% of the country's total export earnings (Fibre2Fashion, 2024), has directly impacted economic growth and alleviated poverty by increasing employment, particularly for women and low-income populations. The poverty headcount ratio (\$2.15 a day 2017 PPP) has outlined improvements from 33.3% to 5% during 2000-2022 (World Bank, 2022). Other contributors to poverty reduction include microfinance initiatives like Grameen Bank, which promoted entrepreneurship and provided finance to excluded communities, alongside targeted social protection, and employment programs.

Bangladesh must focus on enhancing rural opportunities to bridge the gap between the socio-economic divides.

Education

A major contributor to underdevelopment is education. Although growth and reforms have boosted literacy rates significantly - from 53.8% to 75.8% from 1985-2023 (Gapminder, 2025) – education quality hampers development, through ongoing challenges with higher education and skills improvements. Primary school enrolment is almost universal, however dropping out of the education system is common, with only ‘64% completing secondary education and 25% of graduates attaining basic competencies’ (UNICEF, 2025). This limits workforce skill levels, impeding economic diversification and productivity growth. Figure 4 illustrates rising enrolments across education between 2018-2022, yet tertiary participation remains low.



A major obstacle to development is insufficient government spending, education expenditure as a % of all government expenditure fell from 16.8% to 9.3% across 2011-2019 (World Bank, 2025). Resulting in teacher shortages, outdated curricula, and inadequate rural educational facilities. Poor teacher quality also inflates the learning gap in rural areas. Despite the fact literacy rates have been rising in line with GDP development, without key improvements to reduce dropout rates and increase vocational training, Bangladesh may struggle to transition to become a more skilled, competitive economy. Strengthening educational policies and investment is essential to mitigate underdevelopment through poor education.

Population

Having one of the highest population densities in the world presents both opportunities and challenges for development. Whilst population growth rate has slowed from 2.7% to 1.2% (1983-2023) (World Bank, 2025), the current population exceeds 170 million, with rapid urbanisation driven by rural-urban migration. As shown by the population pyramid (Figure 5) over 28% of the population is under the age of 15 (Statista, 2025), highlighting a high future labour force potential and potential demographic dividend.

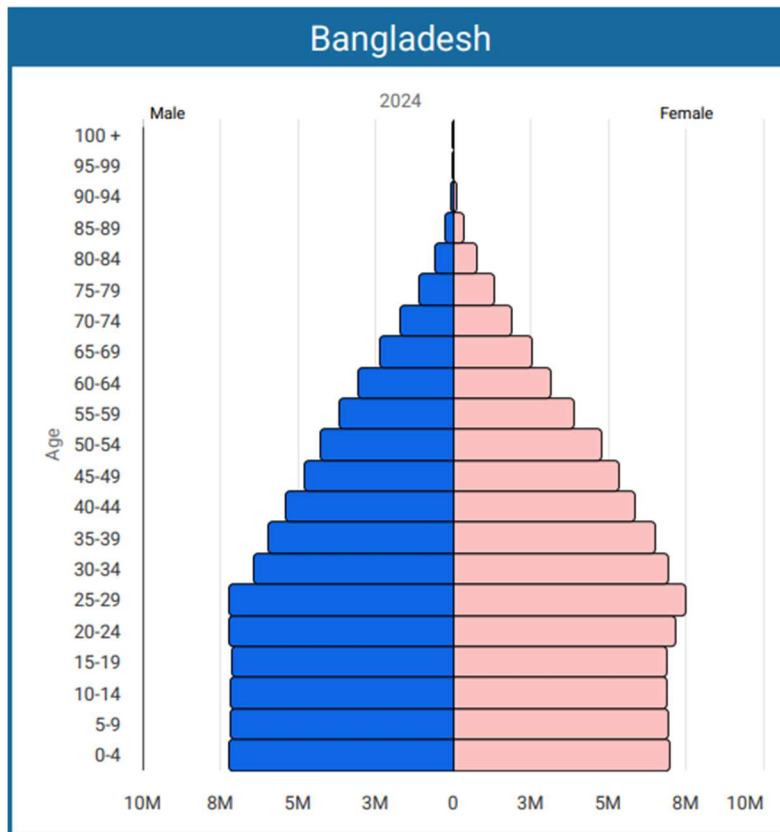


Figure 5

Data Source: (US Census Bureau, 2025)

However, effectively extracting this dividend is contingent upon large investment. Currently, rapid population growth and density provides an underdevelopment challenge through the strain on infrastructure, healthcare, and job markets. Infrastructure cannot keep up to the population rise, hence a halt in development and expansion in informal employment and slums. Overcrowded urban areas face housing shortages, increased pressure on public services and inadequate sanitation, leading to declining standards with 'half its urban population residing in slums' (Hasan, 2024). Without strategic urban planning, and targeted employment initiatives, demographic pressure may hinder rather than spur development, remaining a barrier to sustainable economic progress.

Conclusion

Bangladesh has achieved notable economic growth and poverty reduction, yet inequality persists. Critical development barriers include population growth/density and low-quality education. Targeted policy suggestions include government investment on educational reforms through teacher training, alongside strategic urban planning to manage demographic challenges. Addressing these constraints will equip the large youth population with employability skills, reduce inequality, and support the promising trajectory towards long-term development and LDC graduation.

Main body word count: 997

References

- Fibre2Fashion*. (2024, December 26). Retrieved from <https://www.fibre2fashion.com/news/textile-news/bangladesh-year-end-review-2024-on-a-political-correction-course-299838-newsdetails.htm#:~:text=stabilise%20the%20industry,-,Political%20unrest,in%20export%20target%20for%202024.>
- Gapminder. (2025). *Gapminder*. Retrieved from [https://www.gapminder.org/tools/?from=world#\\$ui\\$chart\\$trails:false&endBeforeForecast=1985;;&model\\$markers\\$bubble\\$encoding\\$frame\\$value=1985;;;;&chart-type=bubbles&url=v2](https://www.gapminder.org/tools/?from=world#uichart$trails:false&endBeforeForecast=1985;;&model$markers$bubble$encoding$frame$value=1985;;;;&chart-type=bubbles&url=v2)
- Global Economy*. (2025). Retrieved from <https://www.theglobaleconomy.com/>
- GlobalInc. (2019, April 19). *Globalinc*. Retrieved from <https://jackblun.github.io/Globalinc/>
- Hasan, M. R. (2024). *Assessment of socioeconomic and health vulnerability among urban slum dwellers in Bangladesh: a cross-sectional study*. BMC Public Health.
- Statista. (2025, March 13). Retrieved from Statista: <https://www.statista.com/statistics/438359/share-of-economic-sectors-in-the-gdp-in-bangladesh/>
- Statista. (2025, March 17). *Statista*. Retrieved from <https://www.statista.com/statistics/438190/age-structure-in-bangladesh/>
- UNICEF. (2025, March 17). *UNICEF*. Retrieved from <https://www.unicef.org/bangladesh/en/education>
- US Census Bureau. (2025, March). *US Census Bureau*. Retrieved from https://www.census.gov/data-tools/demo/idb/#/pop?dashboard_page=country&COUNTRY_YR_ANIM=2022&CCODE_

SINGLE=BD&CCODE=BD&COUNTRY_YEAR=2022&popPages=PYRAMID&menu=popViz
&POP_YEARS=2024

World Bank. (2022). *World Bank*. Retrieved from <https://pip.worldbank.org/country-profiles/BGD>

World Bank. (2022). *World Bank*. Retrieved from
<https://data.worldbank.org/indicator/SI.POV.DDAY?locations=BD>

World Bank. (2025, March 17). Retrieved from World Bank:
<https://data.worldbank.org/indicator/SP.POP.GROW?locations=BD>

World Bank. (2025, March 13). *World Bank*. Retrieved from
<https://data.worldbank.org/indicator/NY.GDP.MKTP.KD.ZG?end=2023&locations=BD&start=1961&view=chart>

World Bank. (2025, March 17). *World Bank*. Retrieved from
<https://data.worldbank.org/indicator/NY.GDP.PCAP.CD?locations=BD>

World Bank. (2025, March 21). *World Bank*. Retrieved from
<https://databank.worldbank.org/source/education-statistics-%5e-all-indicators>